

2.1 – Government and the economy

Subject content	What learners need to study:
2.1.1 Macroeconomic objectives	a) Economic growth: • definition of economic growth • measurement using increases in gross domestic product (GDP) • limitations of GDP as a measure of growth • the use of diagrams to show the economic cycle: annotating boom, downturn, recession and recovery • the effect of each stage of the economic cycle on economic growth, inflation and unemployment • the impact of economic growth on: ◦ employment ◦ standards of living ◦ poverty ◦ productive potential ◦ inflation ◦ the environment. b) Low and stable inflation: • definition of inflation • definition of deflation • measurement using consumer price index (CPI) • types of inflation: ◦ demand pull ◦ cost push. • relationship between inflation and interest rates • impact of inflation on: ◦ prices ◦ wages ◦ exports ◦ unemployment ◦ menu costs ◦ shoe leather costs ◦ uncertainty ◦ business and consumer confidence

Subject content	What learners need to study:
	c) Low unemployment: • definition of unemployment • measurement of unemployment using International Labour Organization (ILO) measure • types of unemployment: - o cyclical - o structural - o seasonal - o voluntary - o frictional. • impact of unemployment on: - o output - o use of scarce resources - o poverty - o government spending on benefits - o tax revenue - o consumer confidence - o business confidence - o society. d) Surplus or balance on the current account of the balance of payments: • definition of current account on the balance of payments • current account deficits and surpluses • trade in goods (visibles) and services (invisibles) • relationship between current account and exchange rates • examples of real-world exchange rates • reasons for deficits and surpluses: - o quality of domestic goods - o quality of foreign goods - o price of domestic goods - o price of foreign goods - o exchange rates between countries.

Subject content	What learners need to study:
	• impact of current account deficit: ◦ leakage from the economy ◦ can be inflationary if prices rise abroad ◦ low demand for our exports ◦ problems finding foreign reserves to fund the deficit. e) Protection of the environment: • business activity that damages the environment • ways businesses damage the environment: ◦ visual pollution, including litter ◦ noise pollution ◦ air pollution ◦ water pollution. • government intervention to protect the environment: ◦ taxation ◦ subsidy ◦ regulation ◦ fines ◦ pollution permits ◦ government provision of parks. f) Redistribution of income: • definition of income inequality • definition of absolute poverty • definition of relative poverty • reasons to reduce poverty and inequality: ◦ meet basic needs ◦ raise standards of living ◦ ethical reasons. • government intervention to reduce inequality and poverty: ◦ progressive taxation ◦ redistribution through benefit payments ◦ investment in education and healthcare.